

Research Highlights

Identifying Rational Types in Unknown Environments under an Indirect Dynamic Mechanism

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- We design an indirect dynamic mechanism for environments with observational pooling.
- The MDG process models execution errors under maximum entropy constraints.
- We prove that Bayesian learning converges almost surely to the true type.
- Perfect Bayesian equilibrium guarantees sequential implementability.
- Deep learning neural networks approximate the value function to solve the game.